

Article | 4 June 2026

CZECH REPUBLIC

Favourable Czech inflation sharpens focus on June CNB meeting

Czech inflation slowed in May, with headline, core, services and goods measures all softening. Recent hawkish signals from the Czech National Bank have prompted the market to price in a June hike. We take the view that the Bank should deliver a hawkish hold and wait to see the impact of the Hormuz shock. But a hike cannot be ruled out

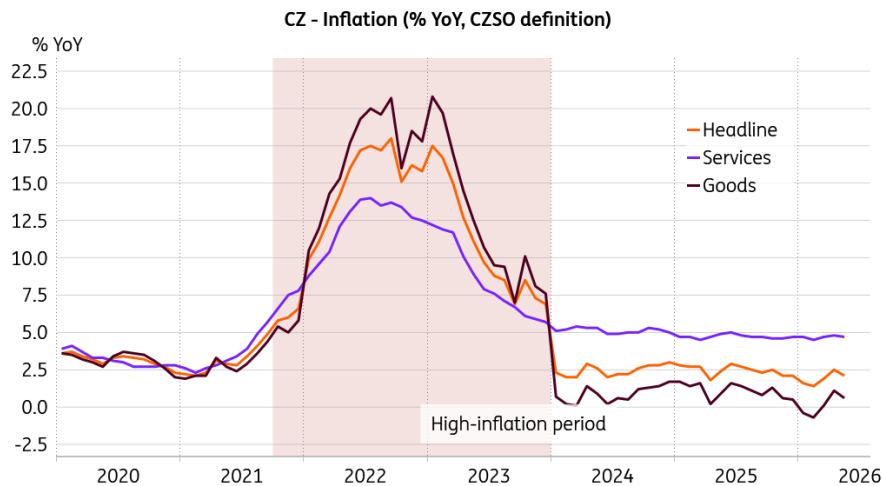


We expect policymakers to remain in wait-and-see mode at the CNB's 18 June meeting, with more hawkish commentary likely to materialise

Headline and core inflation slow down

Czech headline inflation slowed to 2.1% in May, coming in below market expectations but in line with the Czech National Bank's spring forecast. Core inflation is estimated to have eased to 2.8%, in line with both ING and CNB expectations. Annual price dynamics of both goods and services slowed down in May. The foodstuffs segment showed a twofold dynamic, with processed food prices remaining benign while unprocessed food prices recorded both monthly and annual increases, pushed up by elevated energy prices.

Headline inflation is close to the target



Source: CZSO, Macrobond

Wage dynamics also punchy due to revisions

Annual wage dynamics quickened to 8.1% in the first quarter of 2026, delivering an increase of 6.4% in real terms. That said, the wage level throughout 2024-25 was revised downward. This brings the 1Q26 wage level roughly in line with our expectations, despite stronger quarterly and annual dynamics following the revisions.

In any case, wage dynamics represent a substantial input to CNB's decision function, with solid wage growth potentially justifying tighter monetary policy. Nevertheless, the employment rate in the 15-64 age group remained unchanged over the year despite solid economic expansion. Unemployment increased from the previous year, including the long-term component. Businesses are looking for employees with different skills than those available in the free labour force, and this long-lasting mismatch is deepening with the advent of new technologies.

Waiting for uber-hawkish comments to adjust

With headline inflation close to the target, softening core inflation along with price dynamics in the service sector, we still see no change to the policy rate as the right answer to the current state of the Czech economy and the outlook. Continued tensions surrounding the Strait of Hormuz may still prompt weakness in the global economy and waning demand for Czech exports – likely materialising in the second and third quarters – alongside dwindling preliminary indicators and subdued real GDP figures. Given the mismatches in the labour market, another bleak period for manufacturing would result in a rise in the unemployment rate; the services sector seems largely saturated when it comes to further absorption of the free labour force.

Yet, in light of the latest hawkish comments from CNB board members, a June hike certainly cannot be ruled out – particularly as factors like ample wage growth or signs of an overheating economy could be used to justify such a move. We take the position that the CNB isn't currently under pressure to tighten the monetary policy setup. To wait and gain a thorough understanding of the full impact of recent geopolitical developments on economic activity and the labour market is something of a luxury worth taking advantage of. At this point, we await further commentary, with forward guidance set to serve as a subtle but powerful art in what's likely to be a lively CNB meeting. In short, no change to rates remains our base case – although we are ready to adjust our view should a more decisively hawkish tone emerge.

Author

David Havrlant

Chief Economist, Czech Republic

420 770 321 486

david.havrlant@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.